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US Economic Update: November 2, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q4 2026 (%)	29-Oct-26
	3.2

FOMC kept the policy rate unchanged in its October meeting

- The Federal Open Market Committee (FOMC) held the federal funds rate steady at 3.75%–4% on October 28, following a hike of 25 basis points in September. The FOMC's latest decision was not unanimous: Two members—Lisa D. Cook and Beth M. Hammack—dissented in favor of a rate hike due to persistent inflation risks. Overall, the committee acknowledged that economic activity continues to expand strongly, supported by resilient consumer spending, strong AI-driven business investment, and gains in productivity. The labor market also remains broadly balanced. However, inflation remains above the committee's 2% target with geopolitical challenges adding to price-related uncertainty. The committee noted that future policy decisions will be data dependent as it awaits further information to assess whether additional tightening is needed.
- The personal consumption expenditure (PCE) price index—the Fed's preferred price gauge—rose 0.5% in September from the previous month. The increase was largely driven by a 5.4% rise in prices for energy goods and services amid the ongoing conflict in the Middle East. Goods prices have also been edging up this year due to tariffs and the AI-buildout. In September, durable goods prices were up 0.2%. Compared to a year ago, PCE prices were up 3.6% in September (also called inflation), the fastest pace since May. Core PCE inflation, which excludes food and energy, rose to 3.1% in September from 3% in August.
- Real GDP grew at a seasonally adjusted annual rate of 3.4% in Q3 2026, up from 2.2% in the previous quarter. Business investment continues to be a key driver of overall economic growth, rising by 12.7% in the third quarter. Within business investment, AI spending continues to dominate: Investment in information processing equipment surged 37.3% in Q3, while software investment also rose sharply during the quarter. The economy also received strong support from consumer spending, which rose 3.8% during the quarter. Net exports, however, weighed on growth in Q3: Imports surged 19.7% while exports of goods and services fell 5.7%.
- Real disposable personal income fell 0.3% in September, after remaining flat in August. Real consumer spending was flat in September, following a 0.5% increase in the previous month. The personal saving rate fell to 3.8%, its lowest level in four years. Spending growth has outpaced income gains this year, leading to a decline in the savings rate.

Figure 1. High energy prices have combined with tariffs and AI-driven demand to push inflation up for key consumer goods and services

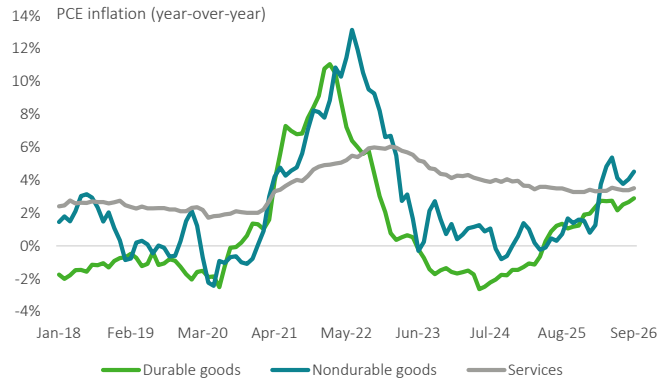
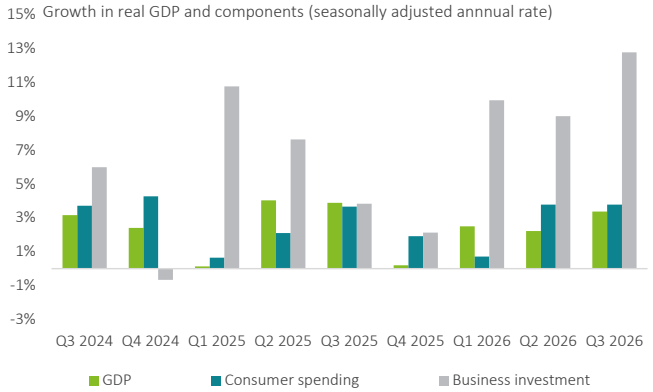


Figure 2. The US economy grew by 3.4% in Q3 2026, aided by continued strength in AI-led business investment and resilient consumer spending



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Sep change	3-month avg ch	12-month avg ch	Trend
29,000	50,000	41,000	

Unemployment rate

Sep value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	0.1	0.0	

Real disposable personal income

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.3	0.0	1.0	

Real personal consumer expenditure

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.7	2.5	

Nominal retail sales

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.8	1.7	6.3	

Conference Board consumer confidence index

Oct value	1-month ch	3-month ch	Trend
91.7	7.5	1.5	

Housing permits

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.4	1.7	-3.2	

Manufacturing industrial production

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.1	1.1	

Shipments of core capital goods

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.2	3.3	11.5	

Trade balance

Aug value (US$ billion)	1-month ch	3-month ch	Trend
-105.6	-12.7	-29.8	

Real GDP

Q3 2026 (%, QoQ, SAAR)	Q2 2026	1-year ch (%)	Trend
3.4	2.2	2.1	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
40.5	6.1	20.8	

Financial markets

Equity markets

S&P 500 on Oct 30	1-week ch (%)	1-year ch (%)	Trend
7580.1	-0.6	10.8	

Treasury yield spread (10 yr - 2 yr)

Spread on Oct 30	1-month ch(ppts)	3-month ch(ppts)	Trend
0.38	0.01	-0.1	

CBOE volatility index (VIX)

VIX on Oct 30	1-week ch	4-week ch	Trend
19.4	0.0	3.0	

Kansas City Fed financial stress index (KCFSI)

Sep index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.2	

Inflation

Consumer price index (CPI)

Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.1	3.7	

Core CPI (CPI excluding food and energy)

Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.8	2.6	

Core PCE (PCE price index excluding food and energy)

Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.7	3.1	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.